EXECUTIVE SUMMARY

A. Introduction

Old folks in Amulung claim that the place got its name from a vine, which was then abundant in the forest. Natives called this vine "Am-a-mulung". Since then, the place came to be known as Amulung up to its operation as a Municipality on December 15, 1734.

Amulung is 26 kilometers north of Tuguegarao City and could be reached in 35 minutes by land transportation. It has 47 barangays and classified as a second (2nd) class Municipality, covering an area of 24,220 hectares and populated by about 42,754 inhabitants.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991", extended the powers of the Local Government units to include not only on the ability to create sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the National Government's thrust for sustainable social and economic development.

The audit covered the accounts and operations of the Municipality of Amulung, Cagayan for CY 2020 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

B. Financial Highlights

For CY 2020, the financial information of the Municipality is presented below:

Particulars	2020	2019	Increase/(Decrease)	
			Amount	Percentage
Financial Condition				
Assets	618,065,479.49	616,229,896.59	1,835,582.90	0.30%
Liabilities	152,555,490.20	167,807,940.78	(15,252,450.58)	-9.09%
Government Equity	465,509,989.29	448,421,955.81	17,088,033.48	3.81%
Result of Operations				
Income	193,330,730.60	160,309,713.17	33,021,017.43	20.60%
Expenses	176,097,966.27	144,559,728.53	31,538,237.74	21.82%
Appropriations, Allotments and Obligations				
Total Appropriation	224,082,921.70	185,737,233.01	38,345,688.69	20.65%
Total Obligations	144,675,194.92	120,064,566.38	24,610,628.54	20.50%

Particulars	2020	2019	Increase/(Decrease)	
			Amount	Percentage
Comparative Statements of Funds Received from NGAs, LGU, NGOs, & POs				
Nat'l Gov't Offices	54,364,314.44	16,957,196.11	37,407,118.33	220.60%
Local Gov't Units	533,620.00	-	533,620.00	
Comparative Statements of Funds Transferred to NGAs, LGU, NGOs, & POs				
Local Gov't Units	47,000.00	47,000.00	-	0.00%

C. Auditor's Opinion on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the financial statements of the Municipality of Amulung as of December 31, 2020 due to the following:

1. The Property, Plant & Equipment account, with a total net book value of P206,132,203.33, could not be relied upon due to the non-submission of the Inventory Report thereon and the non-maintenance of Property, Plant and Equipment ledger cards by the Accounting Office.

2. The Municipal Agriculturist Office failed to furnish the Municipal Accounting Office of the necessary records pertaining to the Animal Dispersal Program of the Municipality totaling to P1,264,000.00, which resulted to understatement of the Biological Asset account.

3. Seeds and fertilizers received from the Department of Agriculture, and subsequently distributed to the constituents amounting to P8,236,537.00, were not recorded in the books of accounts, resulting to the understatement of the accounts Agricultural and Marine Supplies for Distribution, and Donation in Kind, affecting the fairness of the presentation of the affected Financial Statements.

4. The amounts presented in the Income and Maintenance and Other Operating Expenses of the Statement of Comparison of Budget and Actual Amount amounting to P27,067,963.04 and P10,144,743.61, respectively, do not reconcile with the Statement of Financial Performance, thus, casting doubt on the reliability of the financial statements.

D. Summary of Significant Observations and Recommendations

The following are the audit team's significant audit observations and recommendations:

1. **Some provisions under GPPB Circular No. 01-2020 were not strictly observed in the procurement of relief goods and various supplies, equipments and medicines charged to Bayanihan Grants to Cities and**

Municipalities totaling to P13,505,555.00, thus, casting doubts on the regularity of the transactions.

We recommended that the Management comply with the provisions of GPPB Circular 01-2020 in all its emergency procurement under the Bayanihan to Heal as One Act. We also required the Municipal Accountant to submit the lacking documentary requirements to the Audit Team five (5) days from receipt hereof.

2. **The General Services Officer failed to maintain Stock Cards for the procurement of relief goods and for those acquired through donations from other government agencies and private sector for proper monitoring of the distribution, contrary to Section 187 of Government Accounting Manual for Local Government Units and COA Circular 2020-009 dated April 21, 2020, thus, this may indicate a weakness in the internal control of the Municipality.**

   We recommended that the General Services Officer maintain Stock Cards for all inventories of the Municipality in compliance with Section 187 of Government Accounting Manual for Local Government Units and COA Circular 2020-009 dated April 21, 2020 to prevent loss and/or wastage of resources of the Municipality. We also required the Municipal Accountant to monitor the implementation of the said recommendation.

3. **The Municipality did not prepare and submit the Reports on the Receipt and Utilization of the DRRMF, sourced from National Disaster Risk Reduction and Management Fund, and cash donations from the different sources, totaling to P4,150,666.40, as required under COA Circular 2014-002 dated April 15, 2014, which resulted to the delay in the review of the receipt and utilization of cash donations and the communication of audit results.**

   We recommended that the Management require the Municipal Accountant and Municipal Budget Officer to prepare and submit the Reports on the Receipt and Utilization of the DRRMF sourced from NDRRMF under the FY 2020 GAA and other Cash Donations to the Office of the Civil Defense, and copy furnish the Audit Team within five (5) days from receipt hereof.

   We also recommended compliance to the provisions of COA Circular 2014-002 dated April 15, 2014 to avoid delay in the review of the receipt and utilization of cash donations and the communication of audit results.

4. **Payment of overtime pay to regular employees totaling to P110,614.73 was not supported by appropriation under the CY 2020 budget of the Municipality, contrary to Section 4 of PD 1445, thus, may be suspended/disallowed due to the absence of authorized appropriation.**

   We recommended that the Municipal Budget Officer and the Municipal Accountant submit to this Office a written justification/comment for the disbursements that were not supported with appropriation, as a basis of the Audit

Team to draw a decision. We also reminded the concerned approving officials to be always cautious in approving the financial transactions of the LGU to avoid the same predicament in the future.

E. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2020:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00
Disallowances					
Prior Years	P16,342,598.59	0.00	1,288,675.30	15,053,923.29	7.89%
Current Years	0.00	0.00	0	0	0
Total	P16,342,598.59	0.00	1,288,675.30	15,053,923.29	7.89%
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of 19 audit recommendations contained in the CY 2019 Annual Audit Report, 14 were implemented, four (4) were partially implemented and one (1) was not implemented.